

Chapter 13

The Labor Market in the Macroeconomy

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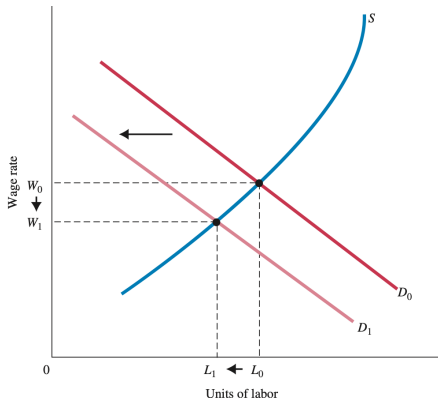
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The Classical View of the Labor Market

- Classical economists assumed that the wage rate adjusts to equate the quantity demanded with the quantity supplied. thereby implying that cyclical unemployment does not exist.



The Classical Labor Market and the Aggregate Supply Curve

- Wages are flexible enough to clear the market.
- In other words, wages respond quickly to price changes.
- In the absence of sticky wages, the AS curve will be vertical.
- In this case, monetary and fiscal policy will have no effect on real output.

Various Points of View regarding on Unemployment

- If the labor market works well, how can we account for the fact that the unemployment rate at times seems high?
- Some economists argue that the measured unemployment rate may *seem* high even though the labor market is working well.
- Classical economists do not see unemployment as a major problem.
- Yet, the historical suffering during the Great Depression is undeniable, and it's also difficult to believe everything was optimal when more than 12 million people were counted as unemployed in 2012.
- Economists have argued that there may be unemployment that is higher than frictional plus structural and yet does not fluctuate much with the business cycle.

Efficiency Wage Theory

- An explanation for unemployment that holds that the productivity of workers increases with the wage rate. If this is so, firms may have an incentive to pay wages above the market-clearing rate.
- Empirical studies of labor markets have identified several potential benefits that firms might receive from paying workers more than the market-clearing wage.
 - Lower turnover, improved morale, and reduced "shirking" of work.
- What about potential costs? Do you think efficient wages are sustainable?

Imperfect Information

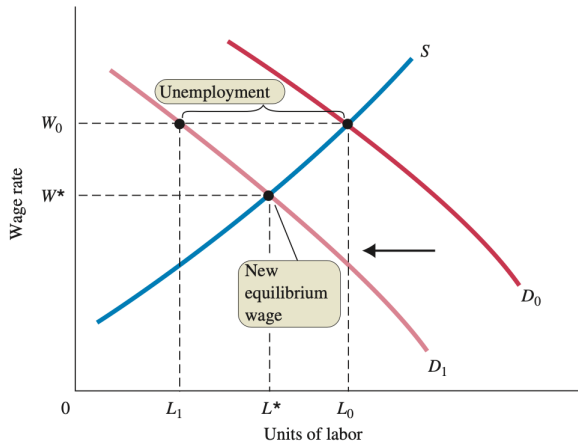
- In the classical labor market model, we have been assuming that firms know exactly what wage rates they need to set to clear the market.
- In practice, however, firms may not have enough information at their disposal to know what the market-clearing wage is.
- One objection to this explanation is that it fails to account for unemployment in the long spell.

Minimum Wage Laws

- One of the examples for price floor
- Laws that set a floor for wage rates—that is, a minimum hourly rate for any kind of labor
- The minimum wage laws aim to protect workers from being employed at a wage rate that is too low.
- People with very low skills—such as out-of-school teenagers and immigrants—might be hurt because of minimum wage, but most economists view its effect on unemployment at present to be small.

Sticky Wages

- The downward rigidity of wages as an explanation for the existence of cyclical unemployment



Evidence on Sticky Wages

Economics in Practice

- Barattieri, Basu, and Gottschalk (2014) *"Some evidence on the importance of sticky wages"*
 - Data: longitudinal survey done by the Census Bureau
 - Wage changes within jobs
 - The period of the survey was 1996–2000, which was a period of low unemployment and high growth and we would expect to see wages going up.
- The paper found that within-jobs-wages change less than average prices.

Why Wages are Sticky

- Social, or implicit contracts
 - Unspoken agreements between workers and firms that firms will not cut wages.
 - The result of wage cuts hurts worker morale and thus negatively affects worker productivity.
- Relative-wage explanation of unemployment
 - If workers are concerned about their wages *relative* to the wages of other workers in other firms and industries, they may be unwilling to accept a wage cut unless they know that all other workers are receiving similar cuts.
- Explicit contracts
 - Employment contracts that stipulate workers' wages, usually for a period of 1 to 3 years, which do not fluctuate with economic conditions, either upward or downward.

The Short-run Relationship Between the Unemployment Rate and Inflation

- The Fed has a dual mandate: output growth and price stability.
- In practice, the Fed typically describes its interests as being unemployment on the one hand and inflation on the other.
- Now we connect the Fed interest in output with unemployment rate and to explore the connection between unemployment and prices.
 - The unemployment U and aggregate output Y are *negatively* related.
 - The AS curve shows a positive relationship between the price level P and aggregate output Y .
- We can infer the implicit *negative* relationship between the price level and the unemployment rate.

Phillips Curve

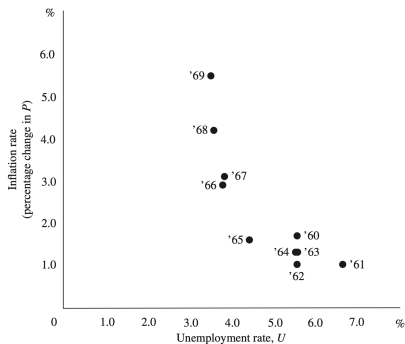
- A curve showing the relationship between the inflation rate and the unemployment rate



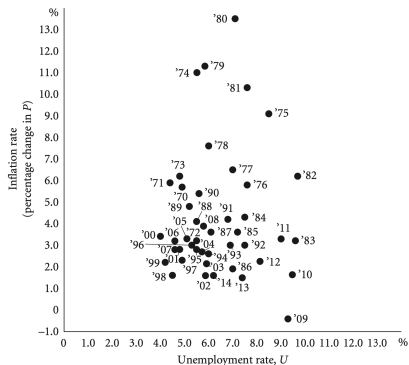
A Historical Perspective on The Phillips Curve

- During the 1960s, there seemed to be an obvious trade-off between inflation and unemployment.
 - Policy debates during the period was simple to choose a point on the curve.
 - Conservatives preferred a point with a low rate of inflation and a higher unemployment rate
 - Liberals preferred a point with a low unemployment rate and a higher inflation rate.
- From the 1970s on, it became clear that the relationship between unemployment and inflation was more complicated than our thoughts.

Unemployment and Inflation across Time



1960 – 1969

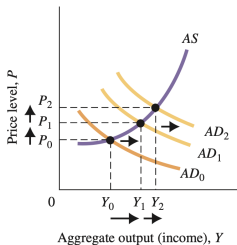


1970 – 2017

AS/AD Analysis and the Phillips Curve

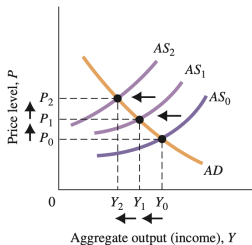
- How can we explain the stability of the Phillips Curve in the 1950s and 1960s but the lack of stability after that?
- If the *AD* curve shifts from year to year but the *AS* curve does not, the shifting *AD* curve creates a set of *AS/AD* intersections that trace out the *AS* curve.
- However, the relationship between the unemployment rate and the inflation rate will look different if the *AS* curve shifts from year to year, but the *AD* curve does not move.
- if both the *AS* and the *AD* curves are shifting simultaneously, there is no systematic relationship between P and Y and thus no systematic relationship between the unemployment rate and the inflation rate.

Comparing Three Cases



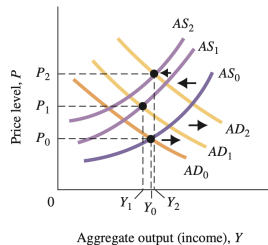
a.

AD shifts with no AS shifts trace out the AS curve (a positive relationship between P and Y).



b.

AS shifts with no AD shifts trace out the AD curve (a negative relationship between P and Y).

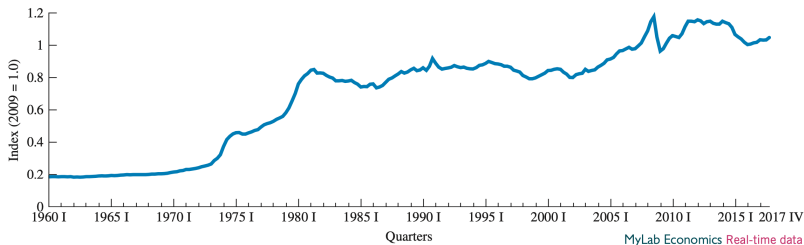


c.

If both AD and AS are shifting, there is no systematic relationship between P and Y .

Phillips Curve Shifting Factors

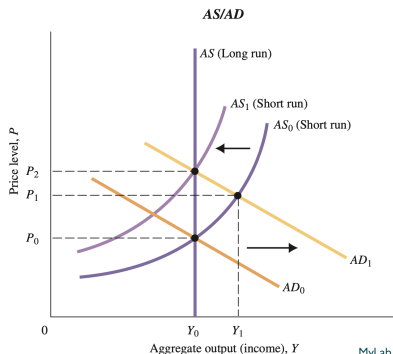
- Prices of import



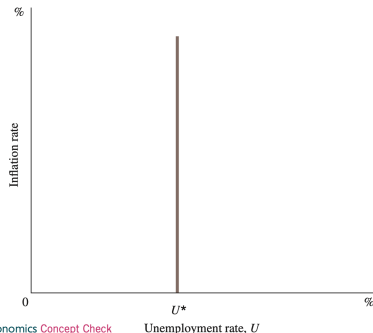
- Expectations
 - If the inflation rate depends on expectations, the Phillips curve will shift as expectations change.
- Positive effect of unemployment on inflation caused by aggregate demand

The Long-run Relationship Between the Unemployment and Inflation

- Recall that the AS curve is vertical in the long run.



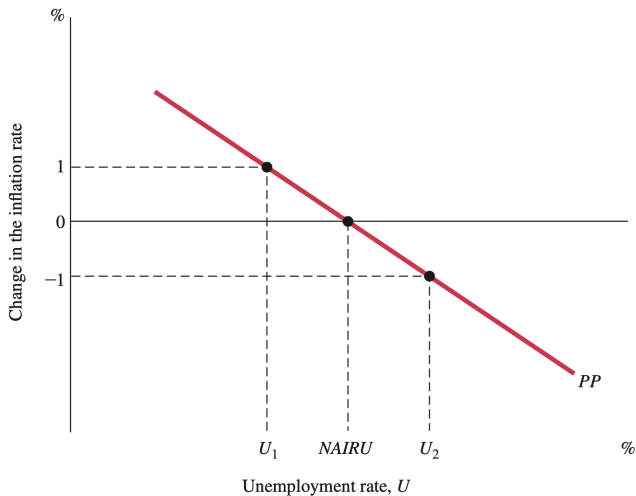
MyLab Economics Concept Check

Long-Run Phillips Curve

Natural Rate of Unemployment U^*

- The unemployment that occurs as a normal part of the functioning of the economy.
- Sometimes taken as the sum of frictional unemployment and structural unemployment
- We can also plot the relationship between *change* in the inflation rate and the unemployment rate.
 - NAIRU (Nonaccelerating Inflation Rate of Unemployment)

The NAIRU Diagram



References

Barattieri, Alessandro, Susanto Basu, and Peter Gottschalk (2014).
“Some evidence on the importance of sticky wages”. In:
American Economic Journal: Macroeconomics 6(1),
pp. 70–101.